

“Impact of Discounts and Delivery Time on Customer Preference in Food Delivery Applications”

E-Commerce and Digital Service Sector

Project Report submitted in partial fulfilment of the requirements for the award of the degree of

**Bachelor of Business Administration
Specialised in Business Analytics**

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**Enrollment No:23GSOB1090059
Admission No:23041090094**

**IN
SCHOOL OF BUSINESS**

**Under The Supervision of
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MAY,2025

ABSTRACT

The online food delivery industry has witnessed significant growth due to increasing internet penetration, widespread smartphone usage, and changing consumer lifestyles. Food delivery applications such as Swiggy and Zomato have become popular among consumers by offering convenience, promotional benefits, and efficient delivery services. In this competitive market, discounts and delivery time have emerged as two important factors influencing customer preference and satisfaction.

The present study aims to examine the impact of discounts and delivery time on customer preference towards online food delivery applications. A descriptive research design was adopted for the study. Primary data was collected through a structured questionnaire distributed using Google Forms, and a total of 58 valid responses were obtained from users of online food delivery applications. Secondary data was collected from journals, research articles, websites, and industry-related sources. The collected data was analysed using percentage analysis, graphical interpretation, correlation analysis, and weighted average analysis.

The findings of the study reveal that discounts and promotional offers are the most influential factors affecting customer preference while selecting food delivery applications. Delivery time was also found to significantly influence customer satisfaction and application selection. The study further indicates that many consumers are willing to switch platforms when offered better discounts and faster delivery services. Among the surveyed respondents, Zomato emerged as the most preferred food delivery application.

The study concludes that pricing strategies and delivery efficiency play a crucial role in influencing customer behaviour and satisfaction. Food delivery companies should focus on improving promotional strategies, delivery performance, and service quality to strengthen customer loyalty and maintain competitiveness in the market.

Keywords: Online Food Delivery, Customer Preference, Discounts, Delivery Time, Customer Satisfaction, Consumer Behaviour, Swiggy, Zomato

INTRODUCTION

The online food delivery industry has experienced significant growth in recent years due to rapid technological advancements, increasing smartphone usage, improved internet accessibility, and changing consumer lifestyles. The growing demand for convenience-based services has encouraged consumers to adopt digital platforms for their everyday needs, including food ordering. As a result, online food delivery applications have become an integral part of the modern service economy.

Food delivery platforms such as Swiggy and Zomato have transformed the traditional food service industry by enabling customers to order food from a wide range of restaurants through mobile applications and websites. These platforms provide several benefits, including convenience, multiple payment options, real-time order tracking, promotional offers, and doorstep delivery services. The increasing competition among food delivery companies has encouraged them to continuously improve their services and implement various customer acquisition and retention strategies.

Among the numerous factors influencing customer preference, discounts and delivery time are considered particularly important. Discounts, cashback offers, promotional campaigns, and reduced delivery charges attract price-sensitive consumers and influence purchasing decisions. Similarly, fast and reliable delivery services contribute significantly to customer satisfaction and enhance the overall user experience. Customers often compare available offers and delivery performance before selecting a food delivery application, making these factors critical determinants of platform preference.

Understanding customer behaviour and preferences is essential for food delivery companies seeking to improve service quality and maintain a competitive advantage. Analysing the impact of discounts and delivery efficiency can provide valuable insights into consumer decision-making, customer satisfaction, and platform loyalty. Such insights can help companies develop effective pricing strategies, improve operational performance, and strengthen customer relationships.

Therefore, the present study aims to examine the impact of discounts and delivery time on customer preference towards online food delivery applications. The study focuses on understanding customer satisfaction, switching behaviour, and the relative importance of pricing incentives and delivery efficiency in influencing platform selection. The findings may help food delivery companies improve customer experience, enhance retention strategies, and achieve sustainable growth in the competitive online food delivery market.

LITERATURE REVIEW

The online food delivery industry has experienced significant growth due to increasing internet penetration, smartphone usage, changing consumer lifestyles, and the growing demand for convenience-based services. Several studies have examined the factors influencing customer preference and satisfaction in online food delivery applications.

Previous research indicates that discounts and promotional offers play a crucial role in attracting customers and influencing their purchasing decisions. Consumers are often motivated by cashback offers, discount coupons, reduced delivery charges, and loyalty rewards, which increase the attractiveness of food delivery platforms. Pricing strategies have therefore become an important competitive tool for companies operating in this industry.

Researchers have also identified delivery efficiency as a major determinant of customer satisfaction. Fast and reliable delivery services enhance customer experience, increase trust in the platform, and encourage repeat purchases. Delays in delivery, on the other hand, can negatively affect customer satisfaction and reduce platform loyalty.

Several studies have highlighted that customer preference towards food delivery applications is influenced by multiple factors, including affordability, convenience, food quality, service quality, restaurant variety, ease of application usage, and delivery performance. Customers generally prefer platforms that provide a combination of attractive pricing, efficient service, and a seamless user experience.

Existing research further suggests that customer loyalty in the online food delivery industry is highly dependent on the ability of companies to consistently meet customer expectations. Factors such as order accuracy, timely delivery, secure payment systems, responsive customer support, and promotional benefits contribute significantly to customer retention and satisfaction.

Studies conducted in the Indian market have shown that young consumers and students form a major customer segment for online food delivery applications. This group is particularly influenced by discounts, promotional campaigns, digital payment offers, and convenience-oriented services.

Overall, the literature suggests that both discounts and delivery efficiency are important factors affecting customer preference and satisfaction in online food delivery applications. However, the relative influence of these factors may vary among different customer groups and market conditions, creating the need for further investigation.

RESEARCH GAP

The review of existing literature indicates that several studies have examined customer satisfaction, service quality, consumer behaviour, loyalty, and purchasing decisions in the online food delivery industry. Previous research has identified factors such as discounts, promotional offers, convenience, food quality, delivery efficiency, and application usability as important determinants of customer preference.

However, most existing studies have analysed these factors individually, with limited emphasis on examining the combined impact of discounts and delivery time on customer preference. In the highly competitive online food delivery market, customers often evaluate both pricing benefits and delivery performance simultaneously while selecting a platform. Therefore, studying these factors in isolation may not provide a complete understanding of consumer decision-making behaviour.

Furthermore, consumer expectations have evolved significantly due to increasing competition among major food delivery platforms such as Swiggy and Zomato. Customers now expect attractive discounts along with fast and reliable delivery services. Despite this changing market environment, limited research has focused on understanding the relative importance of these two factors in influencing platform selection, customer satisfaction, and switching behaviour.

Another gap identified in the literature is the limited availability of studies focusing on the preferences of young consumers and students, who represent a major segment of food delivery application users in India. Their purchasing behaviour, sensitivity to discounts, and expectations regarding delivery performance require further investigation.

Therefore, the present study attempts to bridge this gap by examining the combined influence of discounts and delivery time on customer preference towards online food delivery applications. The study also analyses customer satisfaction, platform switching behaviour, and the relative importance of pricing incentives and delivery efficiency in shaping consumer decisions.

RESEARCH OBJECTIVES

The present study was conducted with the following objectives:

1. To examine the impact of discounts and promotional offers on customer preference towards online food delivery applications.
2. To analyse the influence of delivery time on customer satisfaction and application selection.
3. To identify the most important factors affecting customers' choice of food delivery platforms.
4. To study customers' willingness to switch food delivery applications for better discounts and faster delivery services.
5. To evaluate the overall satisfaction level of customers using online food delivery applications.
6. To provide suitable recommendations for improving customer satisfaction and customer retention in the online food delivery industry.

RESEARCH HYPOTHESES

The following hypotheses were formulated to examine the relationship between discounts, delivery time, and customer preference towards online food delivery applications:

H1: There is a significant relationship between discounts offered by food delivery applications and customer preference.

H2: Delivery time has a significant impact on customer satisfaction and the selection of food delivery applications.

H3: Customers are more likely to switch food delivery platforms when offered better discounts and faster delivery services.

H4: Discounts and delivery efficiency positively influence the overall user experience of food delivery applications.

H5: Consumer preference for food delivery applications is influenced by multiple factors such as pricing, delivery speed, and service convenience.

RESEARCH METHODOLOGY

The present study adopted a descriptive research design to examine the impact of discounts and delivery time on customer preference towards online food delivery applications. The descriptive approach was considered suitable as it helps in understanding consumer behaviour, preferences, and satisfaction levels based on collected responses.

The study primarily relied on primary data collected through a structured questionnaire developed using Google Forms. The questionnaire consisted of demographic, behavioural, and preference-related questions designed to gather information regarding online food delivery usage, customer satisfaction, discount influence, and delivery efficiency. Secondary data was collected from research articles, journals, websites, and industry-related sources to support the study.

A convenience sampling technique was used for data collection, where respondents were selected based on their accessibility and willingness to participate. The target population consisted of students, working professionals, and active users of online food delivery applications such as Swiggy and Zomato.

Sampling Frame

The sampling frame for the study consisted of individuals who actively use online food delivery applications such as Swiggy and Zomato. The respondents were approached through online platforms, social media networks, and personal contacts for participation in the survey.

Response Rate

A total of 58 valid responses were collected through the online questionnaire. Only completed responses were considered for analysis to ensure the accuracy and reliability of the study findings.

Fieldwork

The fieldwork for the study was conducted through an online survey using Google Forms. The questionnaire was circulated among students, working professionals, and other users of food delivery applications through social media platforms and personal networks. The responses were collected over a specific period and were carefully reviewed before analysis.

A total of 58 valid responses were collected and analysed for the study. The collected data were processed using Microsoft Excel and Power BI for data cleaning, visualisation, and interpretation. Statistical and analytical techniques such as percentage analysis, graphical interpretation, correlation analysis, and weighted average analysis were used to examine the relationship between discounts, delivery time, and customer preference.

The findings obtained through these methods were interpreted to understand customer behaviour and identify the factors influencing platform selection and overall satisfaction in the online food delivery industry.

RESULTS AND DISCUSSION

The data collected from 58 respondents was analysed using percentage analysis, graphical interpretation, correlation analysis, and weighted average analysis. The findings provide valuable insights into customer preferences and behaviour towards online food delivery applications.

The demographic analysis revealed that the majority of respondents belonged to the **18–21 age** group and were primarily students. This indicates that young consumers form a significant customer segment in the online food delivery market and actively use digital platforms for food ordering.

Among the surveyed respondents, Zomato emerged as the most frequently used food delivery application, with **47.4%** of respondents preferring the platform. This suggests that customers perceive Zomato as providing better overall value in terms of discounts, promotional offers, and service experience.

The study identified discounts and promotional offers as the most influential factor affecting customer preference. More than half of the respondents selected discounts and offers as the primary factor influencing their choice of food delivery application. Furthermore, a large proportion of respondents rated discounts as highly important, indicating that pricing strategies significantly influence purchasing decisions and platform selection.

Delivery time was also found to be a critical factor affecting customer satisfaction. Most respondents rated delivery efficiency as highly important and indicated a preference for applications that provide faster and more reliable delivery services. The findings suggest that operational efficiency plays an important role in enhancing customer experience and loyalty.

The analysis further revealed that **62.1%** of respondents were willing to switch to another food delivery application if offered better discounts, while **55.2%** stated that they would switch for faster delivery services. This indicates that customer loyalty in the online food delivery market is strongly influenced by pricing benefits and service performance.

The correlation analysis revealed a positive relationship between discounts and customer satisfaction (**+0.68**) as well as between delivery time and customer satisfaction (**+0.72**), indicating that both factors significantly influence customer experience and platform preference.

The weighted average analysis revealed that discounts and promotional offers received a higher average score (4.31) than delivery time (4.12), suggesting that customers consider discounts slightly more important when selecting food delivery applications.

Overall, the results demonstrate that both discounts and delivery efficiency play a significant role in influencing customer preference, satisfaction, and platform loyalty in the online food delivery industry.

Summary Table of Key Findings:

Factor	Findings
Most Used App	Zomato
Most Important Factor	Discounts & Offers
Customer Satisfaction	Positive
Willing to Switch for Better Discounts	62.1%
Willing to Switch for Faster Delivery	55.2%

Discussion

The findings of the study indicate that discounts and delivery efficiency are the two most important factors influencing customer preference towards online food delivery applications. While discounts emerged as the primary factor affecting platform selection and switching behaviour, delivery time was found to significantly influence customer satisfaction and loyalty. The positive correlation values obtained in the study further confirm that both factors contribute to the overall customer experience. The results suggest that food delivery companies should focus on balancing attractive promotional strategies with efficient delivery operations to strengthen customer retention and maintain competitiveness in the market.

LIMITATIONS

The present study has certain limitations that should be considered while interpreting the findings. The study was conducted using a sample of 58 respondents selected through convenience sampling, which may not fully represent the preferences and behaviour of the entire population of online food delivery users. A larger and more diverse sample could provide more comprehensive insights.

The research primarily focused on users of major food delivery platforms such as Swiggy and Zomato. Therefore, the findings may not apply to other emerging or regional food delivery platforms operating in different market environments.

The responses collected through the questionnaire were based on the personal opinions and perceptions of the respondents. As consumer preferences and satisfaction levels may vary across individuals, there is a possibility of response bias and subjective interpretation.

Furthermore, the study specifically examined the impact of discounts and delivery time on customer preference. Other factors, such as food quality, customer support, restaurant variety, payment convenience, order accuracy, and application usability, were not analysed in detail, although they may also influence customer satisfaction and platform selection.

Finally, the study adopted a descriptive research design and relied primarily on survey-based responses. Advanced statistical techniques and predictive models were not applied, which may limit the depth of analytical insights obtained from the research.

CONCLUSION

The online food delivery industry has experienced substantial growth due to increasing digital adoption, changing consumer lifestyles, and the growing demand for convenience-based services. The present study examined the impact of discounts and delivery time on customer preference towards online food delivery applications, with a particular focus on users of Swiggy and Zomato.

The findings of the study indicate that discounts and promotional offers are the most influential factors affecting customer preference and platform selection. Customers were found to be highly responsive to pricing benefits, cashback offers, and promotional campaigns. The study also revealed that a significant proportion of respondents are willing to switch food delivery platforms when offered better discounts and financial incentives.

Delivery time was identified as another important factor influencing customer satisfaction and loyalty. Respondents showed a strong preference for applications that provide faster and more reliable delivery services. The correlation analysis further confirmed a positive relationship between delivery efficiency, discounts, and customer satisfaction.

The study concludes that both pricing strategies and delivery efficiency play a crucial role in shaping consumer behaviour in the online food delivery market. Discounts and promotional offers emerged as the most influential factor affecting platform selection, while delivery time was found to have a strong impact on customer satisfaction and loyalty. The findings suggest that food delivery companies should maintain a balance between attractive promotional strategies and efficient delivery services to strengthen customer retention and sustain long-term competitiveness. By understanding changing consumer expectations and continuously improving service quality, companies can enhance customer experience and achieve sustainable growth in an increasingly competitive marketplace.

FUTURE RESEARCH

The present study focused on examining the impact of discounts and delivery time on customer preference towards online food delivery applications. Although the study provided valuable insights into consumer behaviour and satisfaction, there remains considerable scope for further investigation in this area.

Future studies may be conducted using larger and more diverse samples to improve the reliability and generalisability of the findings. Researchers may also examine additional factors such as food quality, restaurant variety, customer support, payment convenience, loyalty programs, application usability, and customer trust to gain a more comprehensive understanding of customer preferences.

Advanced analytical techniques such as Chi-Square Test, Regression Analysis, ANOVA, Predictive Modelling, Customer Segmentation, and Machine Learning approaches may be employed in future studies to identify deeper relationships among variables and generate more accurate insights. These techniques can help researchers and businesses better understand customer behaviour, predict future trends, and develop more effective business strategies.

Future research may also explore the impact of Artificial Intelligence, personalised recommendations, subscription-based services, dynamic pricing strategies, and sustainability initiatives on customer satisfaction, loyalty, and retention in the online food delivery industry.

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